

Defined benefit vs defined contribution

Company pension plans that promise a fixed monthly pension are known as defined benefit plans. These are risky for employers, who have to pay out regardless of how the pension investments perform. This “pension promise” has led to some pension funds having insufficient funds to meet their commitments as a result of poor financial management of the pension plans. With defined contribution plans, it is the employee who carries the investment risk. The success of both plans hinges on the investments in the pension performing well, but if defined contribution funds lose money, an individual’s pension pot may be smaller than expected when they retire.

Why pensions fail

It is important for individuals to take professional financial advice at various stages in their lives to ensure that their pension is on track to pay out the desired level of income. A financial adviser can provide guidance on how much to save, the best way to pay money into a pension fund, and any steps that can be taken to reduce the risk of a pension failing. In some cases it may be advisable for savers to increase their contributions or diversify their pension investments.

5. High inflation

Increases in the cost of living need to be reflected in the value of the pension pot to ensure it will provide adequate income in retirement.

3. Taxes

Pensions are usually taxed as income, so relevant taxes should be factored in when a pension is designed.

1. Business failure

Company pension funds can be lost if an employer goes bust and the money is not ring-fenced (financially separate from other assets and liabilities).

